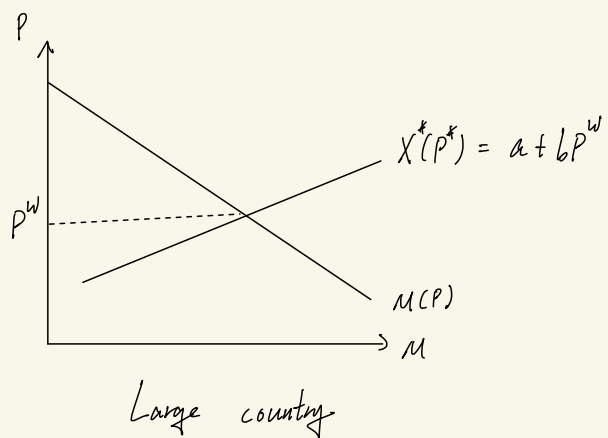
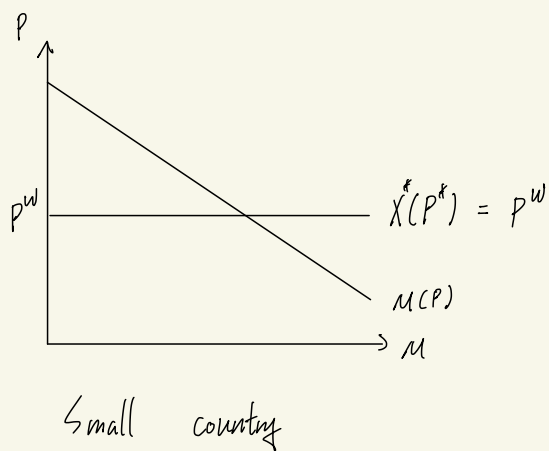


Q1 (FT 8-2)

- (a). MFN principle : if the U.S. lowers or raises the tariff on a particular product imported from one WTO member, it must apply the same tariff to imports of that product from all other WTO members unless a WTO exception applies.
- (b). Yes. It permits countries to form free-trade areas or customs unions in which member countries give each other lower tariffs than they give nonmembers. (e.g., USMCA)
- (c). No. Article XI prohibits quantitative restrictions.
- A historical exception was the Multifibre Arrangement (MFA)

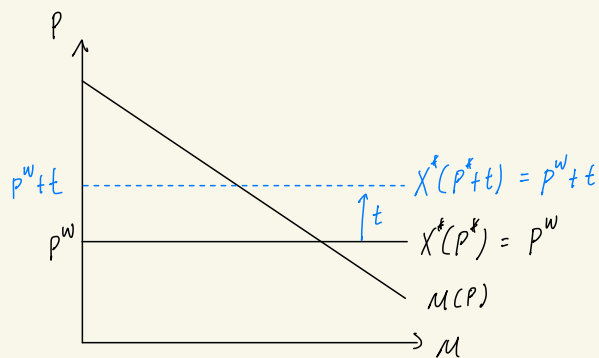
Q2. (FT 8-4)



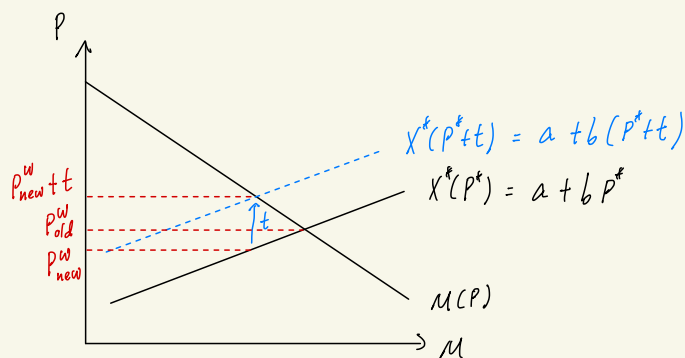
For a small country, importing does not affect the world price $\Rightarrow$ horizontal Foreign export supply curve

For a large country, importing represents a significant share of world demand, so a reduction in its imports lowers the world price $\Rightarrow$ upward sloping export supply curve.

(6)



Small Country



Large country

If Foreign export supply is very elastic, Foreign exporters are unwilling to reduce their price when a small country imports less goods. So the Home consumers bear most of the tariff burden.

If Foreign export supply is inelastic, Foreign exports have to cut their price in response to the reduction of imports from a large country. So the Home price rises only partially, and Foreign exporters bear a larger share of the tariff.

Q3 (FT 8-6)

Optimal tariff : $t^{opt} = \frac{P^*}{E_X^*}$ or $\tau^{opt} = \frac{1}{E_X^*}$

(a)

If Foreign export supply is perfectly elastic, $E_X^* \rightarrow \infty$

The optimal tariff is therefore $\tau^{opt} = 0$.

As a small country, it cannot lower the foreign export price by imposing a tariff, so there is no term of trade gain. Any positive tariff only create DWL (deadweight loss).

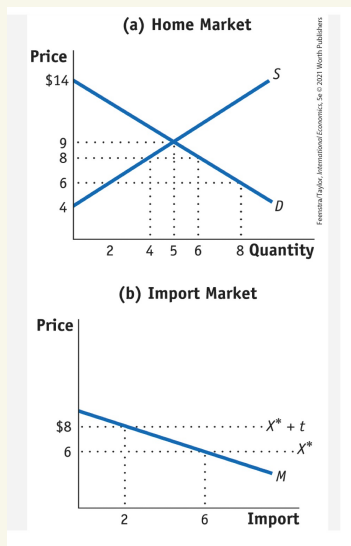
(b)

$\tau^{opt} = \frac{1}{E_X^*}$ or $t^{opt} = \frac{P^*}{E_X^*}$

(c)

If Home raises the tariff above the optimal level, Home welfare begins to fall. This is because the additional DWL exceeds the additional term-of-trade gain.

Q4 (FT 8-11)



(a). $CS = \frac{1}{2} \times (14 - 9) \times 5 = 12.5$

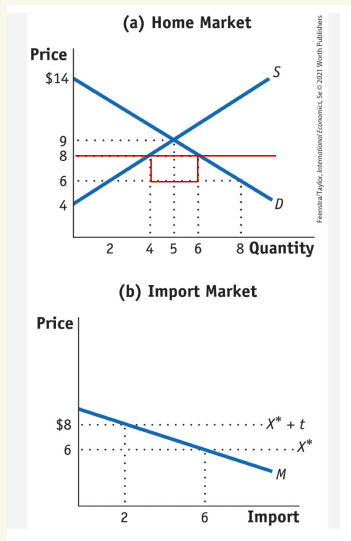
$PS = \frac{1}{2} \times (9 - 4) \times 5 = 12.5$

(b) $P^W = 6$

$CS = \frac{1}{2} \times (14 - 6) \times 8 = 32$

$PS = \frac{1}{2} \times (6 - 4) \times 2 = 2$

Yes, $\Delta W = (32 + 2) - (12.5 + 12.5) = 9$



(c). $CS = \frac{1}{2} \times (14 - 8) \times 6 = 18$

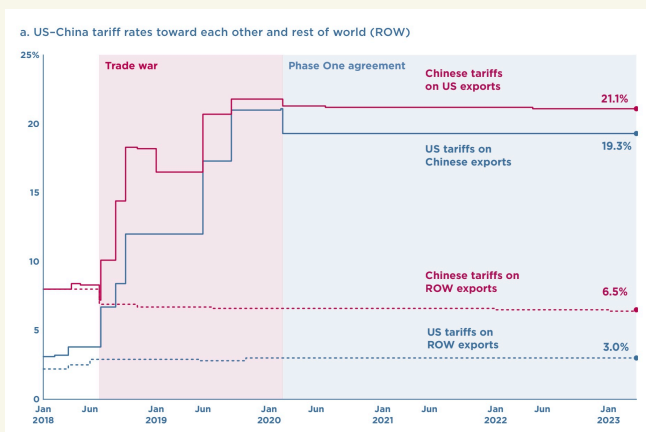
$PS = \frac{1}{2} \times (8 - 4) \times 4 = 8$

$TR = (8 - 6) \times (6 - 4) = 4$

$W_{\text{tariff}} = 18 + 8 + 4 = 30$

$\Delta W = 30 - 34 = -4$
welfare with free trade.

Q5



(a) Chinese tariffs on US exports : $21.1\% - 8.0\% = 13.1$ ppt

(b). US tariffs on Chinese exports : $19.3\% - 3.1\% = 16.2$ ppt

(c). Chinese tariffs on ROW exports : $6.5\% - 8.0\% = -1.5$ ppt

(d). US tariffs on ROW exports : $3.0\% - 2.2\% = 0.8$ ppt

Q6

(a). The average tariff rate : the average statutory tariff rate, weighted using 2024 import values

$$\text{The average duty rate} = \frac{\text{total duties actually collected in a month}}{\text{total value of imports in that month}}$$

The duty rate can be lower than the tariff rate because some imports receive exemptions and because importers may shift their purchases away from countries or products facing high tariffs.

(b). Average tariff rate

① 2024 import weights are held fixed. Changes in this measure mainly reflect changes in trade policy

② The average duty rate is an endogenous outcome. It is affected not only by tariff policies but also by exemptions and by firms changing their importing behaviors.

(c). Foreign exporters absorb about 14% through lower export prices.

US buyers absorb the remaining 86%

The average tariff rate was 13%, so $13 \times 0.86 = 11.18$ percent is an import price increase